# MBA CASE STUDY

## WeWork: From $47 Billion to Bankruptcy — Growth vs. Profitability

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| **Company** | WeWork | **Industry** | Commercial Real Estate / Co-working |
| **Founded** | 2010 (Adam Neumann, Miguel McKelvey) | **Headquarters** | New York, NY, USA |
| **Key Metrics** | Peak Valuation $47B (2019); IPO Failed; Bankrupt 2023; SoftBank invested $18.5B total; Revenue $3.4B (2022) with $2B net loss; 800+ lo | **Case Focus** | Ethics — Growth vs. Profitability |
| **Teaching Objective** | Analyze the valuation disconnect between narrative-driven growth metrics and fundamental unit economics | | |

## SYNOPSIS

In 2019, WeWork filed for IPO at a $47 billion valuation. Within weeks, the filing unraveled under public scrutiny — revealing massive losses, creative accounting ('Community-Adjusted EBITDA'), self-dealing by founder-CEO Adam Neumann (who trademarked the word 'we' and sold it back to the company for $5.9 million), and a business model that leased long-term and rented short-term. The IPO collapsed. Neumann was ousted. Six months later, COVID-19 emptied offices worldwide. By 2023, WeWork filed for bankruptcy. This is the story of how 'growth at all costs' destroyed more investor value than almost any startup failure in history.

At its core, WeWork was a real estate company priced like a technology company. The fundamental question this case explores: what is the difference between growth and a Ponzi scheme? When does narrative decouple from reality, and how can investors — and entrepreneurs — tell the difference before it is too late?

## BACKGROUND

WeWork was founded in 2010 by Adam Neumann and Miguel McKelvey with a vision of 'elevating the world's consciousness.' The company leased office space long-term, renovated it with trendy design, and rented it short-term to freelancers, startups, and eventually large enterprises. The pitch: WeWork was not a real estate company — it was a community platform, a 'physical social network' where serendipitous interactions created value beyond square footage. This narrative resonated. SoftBank's Vision Fund, led by Masayoshi Son, invested $18.5 billion across multiple rounds, valuing the company at $47 billion at its peak — more than established office REITs with vastly larger portfolios.

The S-1 IPO filing in August 2019 exposed the reality. Community-Adjusted EBITDA was a metric that excluded virtually every real cost — rent, interest, depreciation, stock compensation. Neumann had personally owned properties that he then leased back to WeWork. He had borrowed against his own shares. Family members held key executive roles. The IPO was withdrawn. Neumann was forced out with a $1.7 billion exit package. SoftBank took control, installed new management, and attempted a turnaround — but COVID-19 and the fundamental mismatch of long-term lease liabilities vs. short-term member commitments proved fatal. WeWork filed for Chapter 11 bankruptcy in November 2023.

## THE CHALLENGE: DIAGNOSING THE FAILURE

The WeWork collapse offers a masterclass in what separates genuine growth from unsustainable hype. The company's unit economics were fundamentally broken: long-term lease obligations totaled $47 billion, while member commitments averaged just 15 months. Each new location required massive upfront capital (build-out costs, furniture, technology) and took years to reach occupancy levels that might — might — generate positive cash flow. The company was perpetually dependent on new investment to cover losses from existing operations. This is the classic definition of a Ponzi dynamic: new investor money pays for old investors' promised returns. Yet SoftBank — one of the world's largest and most sophisticated investors — poured in $18.5 billion. What did they see that the public markets rejected?

The governance failures compound the financial ones. Neumann held Class B shares with 20 votes each, giving him majority control regardless of economic ownership. His wife, Rebekah, was involved in leadership decisions and was even named as one of three potential successor CEOs in the original S-1 — a governance red flag of the highest order. The company leased properties Neumann personally owned. When the IPO collapsed, Neumann walked away with $1.7 billion while employees lost jobs and investors lost billions.

## KEY FINANCIAL DATA

| Year | Revenue ($B) | Net Loss ($B) | Valuation ($B) | Locations |
|---|---|---|---|---|
| 2017 | $0.9B | -$0.9B | $20B | 170 |

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|---|---|---|---|---|
| 2018 | $1.8B | -$1.9B | $47B | 425 |
| 2019 | $3.5B | -$3.5B | $47B (peak)<br>$8B (bailout) | 739 |
| 2020 | $3.2B | -$3.8B | $8B | 859 |
| 2021 | $2.6B | -$4.6B | $9B (SPAC) | 756 |
| 2022 | $3.4B | -$2.0B | Bankrupt 2023 | 779 |

## DISCUSSION QUESTIONS

### 1. Growth vs. Profitability

- At what point does 'aggressive growth' cross the line into 'unsustainable Ponzi dynamics'? Define the boundary.
- SoftBank invested $18.5 billion. What due diligence failures allowed this? What metrics should have been red flags?
- How would you calculate WeWork's true unit economics? What should the P&L; of a single WeWork location look like at breakeven?

### 2. Valuation Methodologies

- WeWork was valued at $47B. Comparable public REITs traded at 15-20x earnings while WeWork had NO earnings. How was this justified?
- What is the difference between valuing a technology company (SaaS multiples) and a real estate company (cap rates, NAV)?
- Could WeWork have been a viable company at a different valuation? At what price would you have invested?

### 3. Corporate Governance & Founder Control

- Neumann held 20:1 super-voting shares and personally owned properties leased back to WeWork. What governance mechanisms should have prevented this?
- His wife Rebekah was involved in succession planning. Is nepotism ever acceptable in a public company? Where is the line?
- Neumann exited with $1.7B while the company went bankrupt. Is this a market failure, a governance failure, or both?

### 4. Investor Due Diligence

- What specific red flags were visible in the S-1 that public markets caught but private investors (SoftBank) ignored?
- How should Saudi investors evaluate startup pitches to avoid WeWork-style disasters? What questions must they ask?
- If you were a Saudi family office offered a WeWork-like investment today, what due diligence would you require?

## KEY FRAMEWORKS

- Unit Economics & Contribution Margin Analysis
- DCF vs. Venture Capital Method
- Agency Theory (Principal-Agent Problem)
- Red Flags Framework (Feng-Shivdasani)
- Capital Structure & Lease Liability Analysis

## TEACHING OBJECTIVES

- Distinguish between revenue growth and sustainable profitability — and identify when growth masks fundamental unit economics problems.
- Evaluate multiple valuation methodologies and explain why a 'tech multiple' was inappropriate for a real estate business.
- Identify governance red flags (super-voting shares, related-party transactions, nepotism) and design preventive mechanisms.
- Develop a due diligence checklist for evaluating startup investments in the Saudi context.
- Understand how creative accounting metrics ('Community-Adjusted EBITDA') can mislead investors.

***THE CENTRAL DILEMMA***

*SoftBank invested $18.5 billion in WeWork believing it was a $47 billion technology company. At bankruptcy, equity value approached zero. Was this: (a) Fraud meriting criminal prosecution of the founder, (b) Legal but catastrophically poor investment judgment by SoftBank, or (c) A rational high-risk bet on transformation that simply failed? Defend your position with evidence.*

## SAUDI ARABIA / HAIL LOCAL APPLICATION

- Startup Evaluation: How should Saudi angel investors and family offices evaluate startup pitches? What are the Saudi-specific red flags (e.g., inflated market size claims, unclear regulatory pathway, reliance on government contracts without signed agreements)?
- Unit Economics for Hail Entrepreneurs: A Hail bakery generating SAR 50K/month with 30% margins is fundamentally different from a startup 'projecting' SAR 5M revenue. How to teach this distinction?
- Growth vs. Profitability in Saudi Context: Many Saudi startups chase 'growth' to attract VC funding. When is this legitimate (e.g., Jahez, Nana) and when is it a WeWork-style mirage?
- Governance for Saudi Family Businesses: WeWork's governance failures (super-voting, related-party transactions) mirror challenges in Saudi family-controlled companies. What governance reforms should Saudi regulators mandate?
- Vision 2030: The Kingdom's SME and VC ecosystem is growing rapidly. How can Saudi Arabia build a funding environment that rewards genuine innovation while punishing WeWork-style hype?

## PRE-CLASS ASSIGNMENT

- Read WeWork's S-1 filing (excerpts provided) and identify 5 specific red flags that should have concerned investors.
- Research one Saudi startup that raised significant funding. Analyze their unit economics based on publicly available information.
- Calculate: if you invested SAR 100K in a company losing SAR 20K/month, how long until it runs out of money? How does this change if revenue grows 10% monthly?
- Prepare your position on the Central Dilemma (a/b/c above). Be ready to defend with specific evidence from the case.

Sources: WeWork S-1 Filing (2019); SoftBank Group Annual Reports; Wall Street Journal; Financial Times. Prepared for Marfa.sa — Meeting 3, July 2, 2026. Format: Harvard Business School Case Method.